

PRODUCT INFORMATION MANAGEMENT

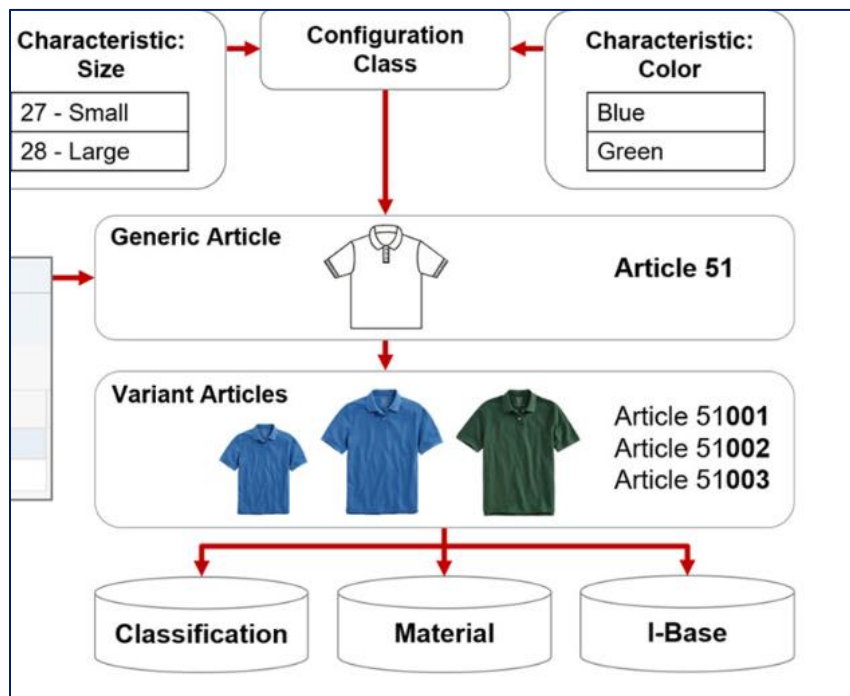
& Inventory Posting

In Dynamics 365 Finance and Operations, products are initially created at a global level and can then be made available to specific legal entities or all legal entities. Key attributes such as product name and product ID are consistent across all legal entities. Before diving in, it's essential to understand three core concepts in Dynamics 365 Finance and Operations.

Product: This is a distinct, identifiable item that remains consistent across all instances. For example, a "Basic Laptop" is a product. It has a unique identifier and name, but it does not have any additional dimensions or variations.

Product Master: This is a standard or functional representation used as a basis for creating different product variants. For instance, a "Laptop" product master could be the foundation for various models with different specifications. This master product might have configuration options, such as size or color, set up through predefined dimensions or custom configurations.

Product Variant: This is a specific configuration of a product master. For example, from the "Laptop" product master, you could create variants like a "14-inch Laptop with 8GB RAM" or a "15-inch Laptop with 16GB RAM." These variants are either predefined by selecting dimensions from the master or configured using a tool that allows for customized options.



In Dynamics 365 F&O we have four product dimension groups:

1. Size
2. Color
3. Style
4. Configuration

SETUPS

In this section, we will cover the essential setups needed for creating and managing products across different business processes in Dynamics 365 Finance and Operations.

While not all of these setups are necessary depending on the specific functionalities you plan to use, understanding them will enhance your overall grasp of the module and its capabilities.

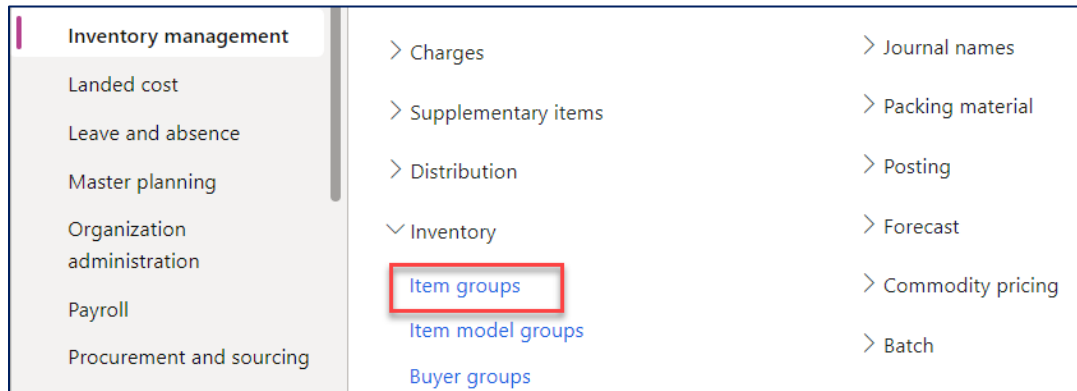
Item Groups:

Item groups are mandatory to create the products. The two main purpose to create the item groups are following:

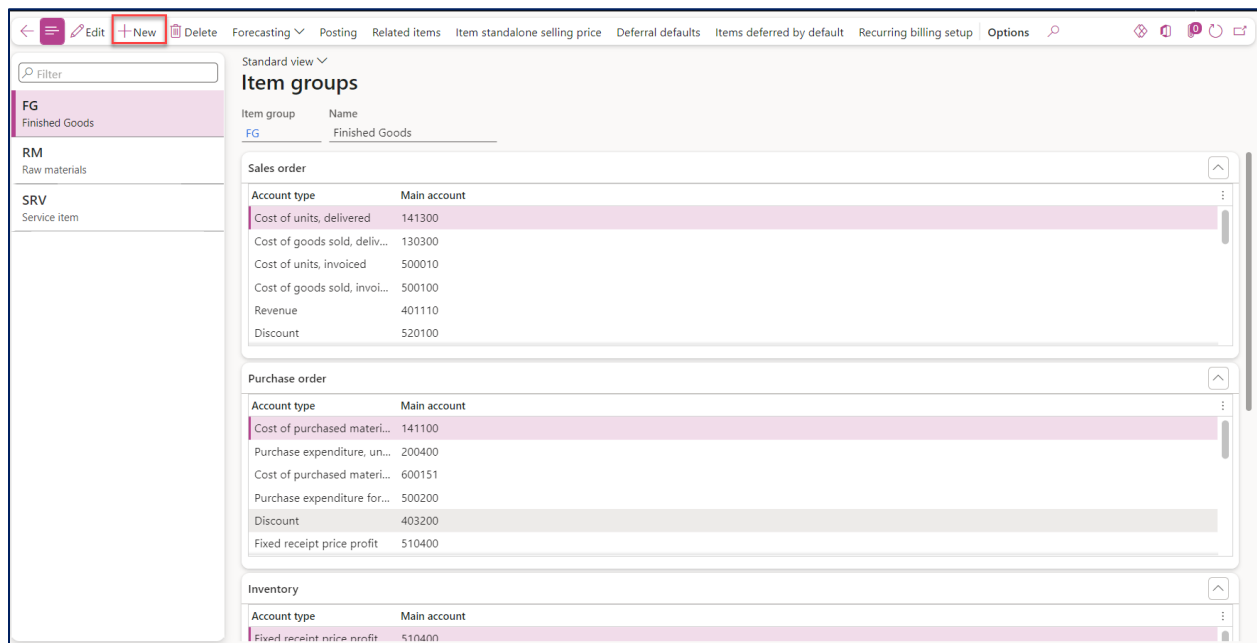
1. To post the inventory to correct accounts as per the COA.
2. To logically group the items as per the characteristics.
Such as stock item, FG, RM, Service items & so on also there are couple of reports in the system those utilize the item groups as the base point.

Note: when you are configuring the new legal entity keep the item group as per the COA it will help you to reconcile the account balances with the legacy system quickly.

To create an item group, navigate to Inventory management > Setup > Inventory > Item groups.



To create an item group, click the “New” button. In the “Item group” field enter your item group ID. In the “Description” field enter the full name of the item group.



Here under the different Fast tabs you can specify the main accounts at the group level, otherwise you can also setup the main accounts in inventory > setup > posting>posting

Sales Order:

In dynamics 365 F&O financial postings are very structured and controlled as per the requirements you can setup the accounts.

Sales Order packing slip	
Cost of goods sold Delivered	DR
Cost of units delivered	CR

As in the last blog we discussed about the physical cost update and financial cost update so packing slip is an event of physical cost update.

Sales Order Invoice	
Cost of goods sold Delivered	CR
Cost of units delivered	
Cost of goods sold invoiced	DR
Cost of units invoiced	CR
Customer Balance	DR
sales order Revenue	Cr

This is the financial update where we can see the margin calculations based on the COGS and Revenue.

Purchase Order

In the similar way to the sales order purchase order events are same product receipt & Invoice
Following the business case, you can setup the other postings also like prepayment, discount etc

Product Receipt	
Cost of purchase material received	DR
Purchase Accrual	CR

Within this purchase expenditure unvoiced is also used that is also a nominal account and normally comes into affect once exchange rate is involved or charges are posted into GL at product receipt level with stock variation account.

Purchase Invoice

Purchase, accrual Debit

Vendor balance Credit

Cost of purchased materials received Credit

Cost of purchased materials invoiced Debit

Further down we can see the Setup “fast tab”

Fast Tab

Setup

FORECAST	PURCHASE TAX	SALES TAX
Default item allocation key	Item sales tax group	Item sales tax group

Default Item Allocation Key: This setting assigns a default item allocation key to a product based on the selected item group. The item allocation key helps in grouping items for generating forecasts.

Item Sales Tax Group (PO) : This specifies the default sales tax group for purchase items, which is automatically assigned based on the chosen item group.

Item Sales Tax Group (SO): This defines the default sales tax group for sales items, which is automatically set based on the selected item group.

For example, if we know that all the IT services are zero or exempt rated for that item group we can default the ‘Zero’ rated group so system will automatically fetch that.

Warehouse Tab:

In the warehouse tab we can see the Filter codes that are used to distinguish the items from on another for example filter code 1 can be frozen items and filter code 2 can be dry items and so on.

Warehouse

FILTER REQUIRED

☒ Use filter code 1

☐ Use filter code 2

☐ Use filter code 3

☐ Use filter code 4

☐ Use filter code 5

☐ Use filter code 6

☐ Use filter code 7

☐ Use filter code 8

☐ Use filter code 9

☐ Use filter code 10

ITEM GROUP FILTER

☐ Assign filter code 1 for item group

☐ Assign filter code 2 for item group

☐ Assign filter code 3 for item group

☐ Assign filter code 4 for item group

☐ Assign filter code 5 for item group

☐ Assign filter code 6 for item group

☐ Assign filter code 7 for item group

☐ Assign filter code 8 for item group

☐ Assign filter code 9 for item group

☐ Assign filter code 10 for item group



More is Coming 😊 Cheers

Happy learning.

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